

Vodafone Idea Limited

Company Overview:

Vodafone Idea is the third largest telecommunications service provider in India based on subscriber base. According to the GSMA Intelligence Database, company is the sixth largest cellular operator globally in terms of numbers of subscribers in a single country of operations. Through the pan India network, the company offers voice, data, enterprise and other value-added services (VAS), including short messaging services and digital services across 2G, 3G and 4G technologies. The company also offers connectivity services to enterprise customers. It holds active licenses for national long distance (NLD), international long distance (ILD) and internet service provider (ISP), and registration for infrastructure provider (IP-1) services. The company carries inter-service area voice traffic and incoming and outgoing international voice traffic on the network, which is facilitated through interconnections with the active licenses.

Key Highlights:

1. Extensive telecommunications network: The company owns 8,005.2 MHz of spectrum holdings across different frequency bands, including 5G spectrum in 17 priority service areas. The company has a robust network infrastructure of 2G, 3G, 4G equipment, a nationwide fiber optic cable network and 1,83,400 unique tower locations covering over 4,87,000 towns and villages in India. Its broadband services (3G and 4G) cover more than one billion people through over 4,38,900 units.

2. Large subscriber base: The company is the third largest telecommunications provider in India with over 22.3 cr subscribers, representing a 19.3% market share according to the TRAI Subscription Report (Dec'23). The company's applicable gross revenue (ApGR) market share was 17.8% for 3QFY24. The company had the leading applicable gross revenue market share in the Kerala and Mumbai service areas, and the second-largest market share in the Gujarat and Kolkata service areas. The company aims to upgrade voice-only customers to data services and digital offerings. It uses AI and data analytics to improve services like customer segmentation, marketing, personalized recommendations and location-based services.

3. Existing Network Built on 5G-Ready Architecture: The company has deployed a 4G network with a future-proof architecture. Over 90% of the TDD (Time Division Duplex) 2500 MHz band radio units are 5G-ready with 10G bandwidth capability. They have also deployed advanced 5G technologies including Massive MIMO (Massive multiple-input and multiple output) and ORAN (Open radio access network). As of Dec'23, the company has deployed 74,800 TDD radios, 13,900 Massive MIMO sites and 13,000 small cells. The company has also completed the minimum rollout obligations in four service areas of Maharashtra, Delhi, Tamil Nadu and Punjab, by collaborating with OEMs.

Valuation: The company is the third largest telecommunications service provider in India based on subscriber base. The company is raising funds through the FPO for the CAPEX purpose of increasing its network infrastructure by expanding the capacity of the existing 4G sites and setting up new 4G and 5G infrastructure as well. India's ARPU (2.1 USD per month) is the lowest amongst the major economies, an increase in the cost of data plans by the telecom industries indicates a higher scope for ARPU improvement to generate a reasonable return on investment. Improving teledensity will also help the company's growth in the future.

Issue Details	
Date of Opening	18 th April 2024
Date of Closing	22 nd April 2024
Price Band (Rs)	10 -11
Fresh Issue (Rs cr)	18,000
Issue Size (Rs cr)	18,000
No. of shares	18,00,00,00,000 – 16,36,36,36,364
Face Value (Rs)	10
BRLMs	Axis Capital Limited, Jefferies India Private Limited, SBI Capital Markets Limited
Registrar	Link Intime India Private Limited
Bid Lot	1,298 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Purchase of equipment for the expansion of their network infrastructure by: (a) setting up new 4G sites; (b) expanding the capacity of existing 4G Sites and new 4G sites; and (c) setting up new 5G sites.	12,750.0
Payment of certain deferred payments for spectrum to the DoT and the GST thereon.	2,175.3
General corporate purposes*	-
Net proceeds^	-

*Subject to the finalization of the basis of Allotment and the allotment of the Equity Shares. The amount utilised for general corporate purposes shall not exceed 25% of the Gross Proceeds.

^Assuming full subscription and allotment and receipt of all monies with respect to the Equity Shares.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	24,51,50,33,148	48.9
Public & Others	25,60,47,87,227	51.1
Total	50,11,98,20,375	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	24,51,50,33,148	36.0
Public & Others	43,60,47,87,227	64.0
Total	68,11,98,20,375	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	24,51,50,33,148	36.9
Public & Others	41,96,84,23,591	63.1
Total	66,48,34,56,739	100.0

Source: RHP, SSL Research

Key Financials

	FY21	FY22	FY23	9MFY24
Revenue from operation (Rs cr)	41,952	38,516	42,177	32,045
EBITDA (Rs cr)	16,946	16,036	16,817	12,790
EBITDA Margin (%)	40.4	41.6	39.9	39.9
Reported PAT (Rs cr)	(44,233)	(28,245)	(29,301)	(23,564)
Reported PAT Margin (%)	-	-	-	-
Adjusted PAT (Rs cr)	(24,265)	(28,410)	(29,279)	(24,319)
Adjusted PAT Margin (%)	-	-	-	-
EPS (Rs)	(9.1)	(5.8)	(6.0)	(4.8)*
Adjusted EPS (Rs)	(5.0)	(5.8)	(6.0)	(5.0)*
ROE (%)	(115.7)	(45.6)	(39.4)	(24.1)*
Adjusted ROE (%)	(63.5)	(45.8)	(39.4)	(24.8)*
ROCE (%)	(4.6)	(5.8)	(4.7)	(3.8)*
Debt (Rs cr)	1,80,310	1,90,918	2,01,586	2,03,426
(A) Long term borrowings				
(i) Loans from banks and others	6,485	2,836	935	-
(ii) Deferred payment obligations	1,50,931	1,73,115	1,88,355	1,95,276
(B) Short term borrowings	22,895	14,967	12,296	8,150
Net Worth (Rs cr)	(38,228)	(61,965)	(74,359)	(97,932)
Average revenue per user (ARPU) (Rs)	107	124	135	145
Customer base for mobile services (in cr)	26.8	24.4	22.6	21.5

* Not Annualized

Source: RHP, SSL Research

Risk Factors

- **Telecommunication services:** If the company is not able to continuously provide telecommunications or related services that are technologically up to date or keep up with changing consumer preferences, the company may not remain competitive and operations may be adversely affected.
- **Capital-intensive business:** The company requires significant capital to fund capital expenditure and working capital requirements. If company is not able to raise additional funds its financial conditions will be affected.
- **Funds required for CAPEX:** The company requires significant capital to fund capital expenditure and if the company fails to raise additional capital, this will significantly affect the financial and operation performance of the company.
- **Licensing and spectrum allocation:** The company's telecommunication licenses and spectrum allocations are subject to terms and conditions, ongoing review and varying interpretations, each of which may result in modification, suspension, early termination, expiry on completion of the term or additional payments.

Growth Strategy

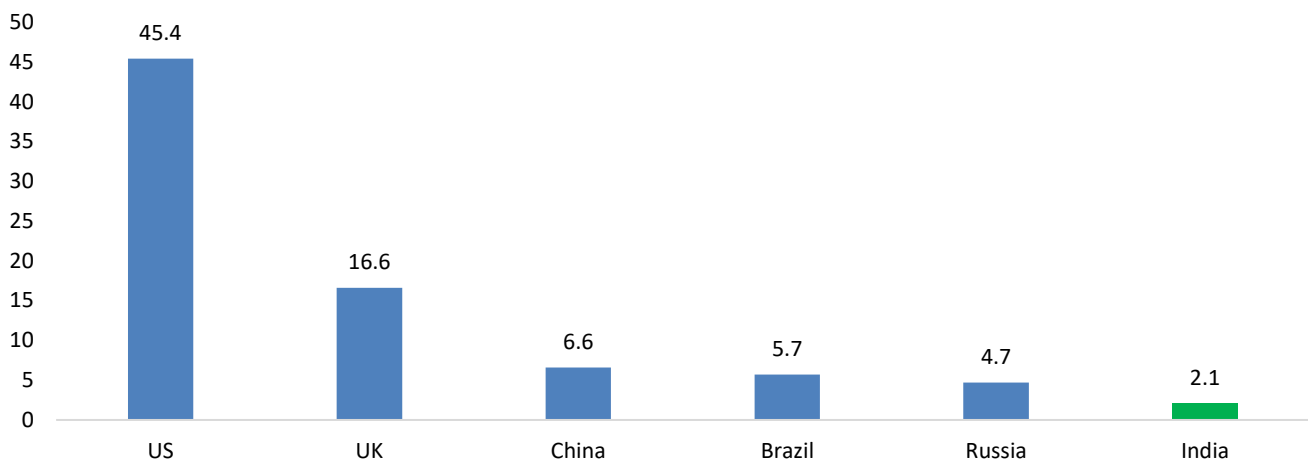
- Focused investments to drive coverage and capacity expansion.
- Initiatives to improve average revenue per user and customer retention.
- Focus on business services through telco to techco transformation.
- Strategic collaborations to monetize digital opportunities.

Industry Overview

Average Revenue Per User per month lower than major world economies

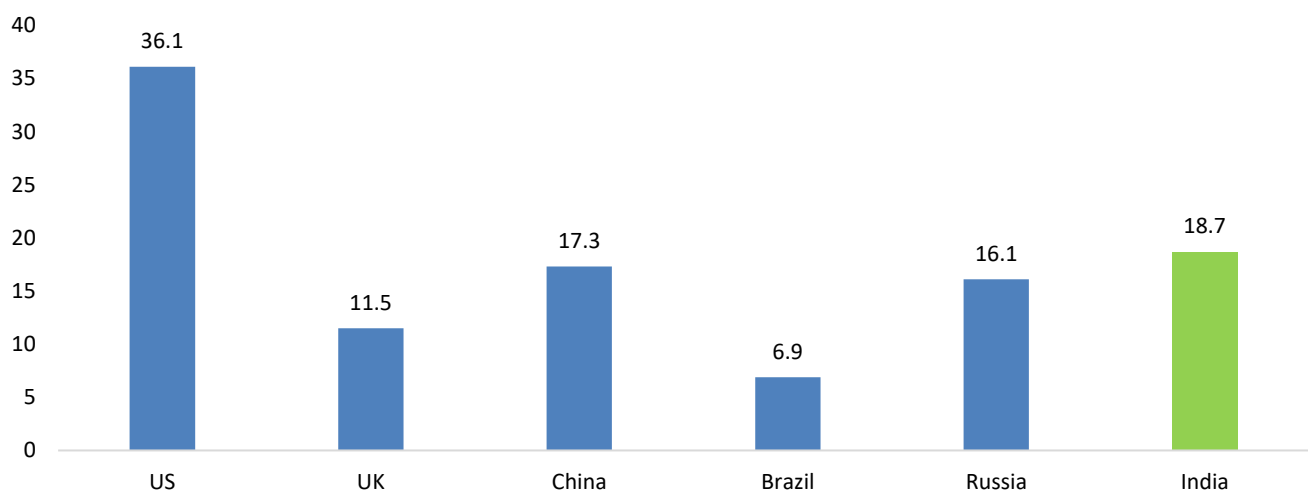
As per TRAI Performance Indicator Report, between Sep'16 and Sep'23, the blended mobile average revenue per user (ARPU) per month has increased 1.24 times from Rs 121.0 to Rs 149.7. During the same period, the average wireless data per data subscriber per month increased 82.8 times and voice minutes of usage per subscriber per month increased 2.6 times. The marginal increase in tariffs was the outcome of a combination of factors including, rising competitive intensity, an increase in the proportion of pre-paid and rural subscribers. Indian ARPU is among the lowest in the world indicating higher scope for ARPU improvement to generate reasonable return on investment. The charts below set out details of the ARPU per month (in US dollars) and data traffic per mobile connection (in GB) for other leading world economies, for the Q3FY24, as per the GSMA Intelligence Dashboard.

ARPU per month (USD)



Source: RHP, SSL Research

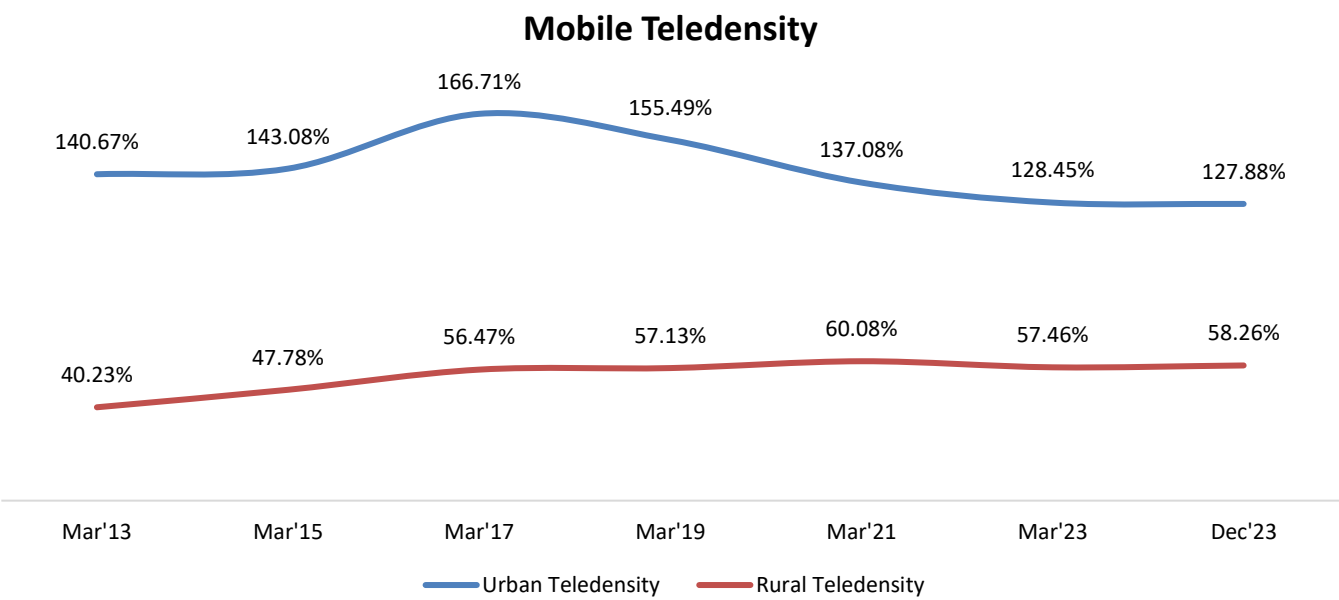
Data traffic per mobile connection (in GB)



Source: RHP, SSL Research

Improving Mobile Teledensity

As of Dec’23, overall tele-density (wireless) was at 83.0%. In India wireless teledensity varies significantly across urban and rural areas. As of Dec’23, wireless teledensity in urban areas was 127.88% and in rural areas was 58.26%. Between Mar’13 and Mar’19, a yearly increase in teledensity of 2.5% was seen every year in urban areas and 2.8% in rural areas. However, teledensity in urban areas has declined since March 2019 due to closure of multiple telecom operators and consolidation of SIMs, but still remains high. Rural teledensity has marginally increased but remains low due to an untapped market .



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY21	FY22	FY23
Revenue from Operations	41,952	38,516	42,177
YoY growth (%)	-	(8.2%)	(9.5%)
Cost Of Revenues (incl Stock Adj)	21,572	19,890	22,607
Gross Profit	20,380	18,626	19,571
Gross margins (%)	48.6	48.4	46.4
Employee Cost	2,030	1,735	1,866
Other Operating Expenses	1,404	855	887
EBITDA	16,946	16,036	16,817
EBITDA margins (%)	40.4	41.6	39.9
Other Income	174	129	311
Net Interest Exp.	17,998	20,981	23,354
Depreciation	23,639	23,584	23,050
Exceptional Items	(19,968)	164	(22)
PBT	(44,485)	(28,235)	(29,298)
Tax	(20)	11	4
Reported PAT	(44,233)	(28,245)	(29,301)
Adj PAT	(24,265)	(28,410)	(29,279)
Adj. PAT margin (%)	(57.8%)	(73.8%)	(69.4%)
Reported EPS	(9.1)	(5.8)	(6.0)
Adj. EPS	(5.0)	(5.8)	(6.0)

BALANCE SHEET			
(Rs cr)	FY21	FY22	FY23
Assets			
Net Block	57,570	53,633	59,821
Capital WIP	600	324	300
Intangible Assets	1,09,920	1,03,186	96,434
Intangible Assets under development	6	40	17,576.10
Other Non current Assets	21,285	20,011	19,208
Current Assets			
Inventories	1	2	16
Trade receivables	2,507	2,444	2,164
Cash and Bank Balances	2,217	3,497	855
Short-term loans and advances	1	0	0
Other Current Assets	9,309	10,893	10,818
Total Current Assets	14,034	16,836	13,854
Current Liabilities & Provisions			
Trade payables	13,276	13,170	13,536
Other current liabilities	19,731	21,562	23,057
Short-term provisions	46	24	15
Total Current Liabilities	33,052	34,756	36,608
Net Current Assets	(19,018)	(17,921)	(22,754)
Assets Classified as held for sale	65	-	49
Total Assets	1,70,428	1,59,273	1,70,635
Liabilities			
Share Capital	28,735	32,119	48,680
Reserves and Surplus	(66,963)	(94,084)	(1,23,039)
Total Shareholders Funds	(38,228)	(61,965)	(74,359)
Total Debt	1,80,310	1,90,918	2,01,586
Long Term Provisions	42	38	24
Lease Liabilities	21,410	22,843	36,180
Other Long Term Liabilities	6,892	7,438	7,204
Net Deferred Tax Liability	2	0	0
Total Liabilities	1,70,428	1,59,273	1,70,635

(Rs cr)	FY21	FY22	FY23
Cash flow from Operating Activities	15,640	17,387	18,869
Cash flow from Investing Activities	1,075	(5,730)	(5,414)
Cash flow from Financing Activities	(16,731)	(10,554)	14,680
Free Cash Flow	10,930	11,378	14,927

RATIOS			
	FY21	FY22	FY23
Profitability			
Return on Assets (%)	(11.9)	(14.6)	(14.1)
Return on Capital (%)	(4.6)	(5.8)	(4.7)
Return on Equity (%)	(63.5)	(45.8)	(39.4)
Margin Analysis			
Gross Margin (%)	48.6	48.4	46.4
EBITDA Margin (%)	40.4	41.6	39.9
Net Income Margin (%)	(57.8)	(73.8)	(69.4)
Short-Term Liquidity			
Current Ratio (x)	0.2	0.3	0.2
Quick Ratio (x)	0.2	0.3	0.2
Avg. Days Sales Outstanding (x)	22	23	19
Avg. Days Inventory Outstanding (x)	0	0	0
Avg. Days Payables (x)	116	125	117
Fixed asset turnover (x)	0.7	0.7	0.7
Debt-service coverage (x)	0.1	0.1	0.1
Long-Term Solvency			
Total Debt / Equity (x)	-	-	-
Interest Coverage Ratio (x)	-	-	-
Valuation Ratios			
EV/EBITDA (x)	13.7	15.0	15.1
P/E (x)	-	-	-
P/B (x)	-	-	-
EV/Sales (x)	5.5	6.3	6.0

Source: RHP, SSL Research

Peer Comparison

	Vodafone Idea Limited				Bharti Airtel Limited				Bharti Hexacom Limited				Reliance Jio Infocomm Limited			
	FY21	FY22	FY23	9MFY24	FY21	FY22	FY23	9MFY24	FY21	FY22	FY23	9MFY24	FY21	FY22	FY23	9MFY24
ARPU (Rs)	107	124	135	145	145	178	193	208	135	155	185	197	138	168	179	182
Customer base (in cr)	26.8	24.4	22.6	21.5	32.1	32.6	33.5	34.6	2.5	2.5	2.6	2.7	42.6	41.0	43.9	47.1

Source: RHP, SSL Research

	Vodafone Idea Ltd		Bharti Airtel Ltd	Bharti Hexacom Ltd	Reliance Jio Infocomm Ltd
	Lower Price Band	Upper Price Band			
CMP	10	11	1,225	806	-
Sales (Rs cr)	42,177	42,177	1,39,145	6,579	90,786
EBITDA (Rs cr)	16,817	16,817	71,274	2,786	46,672
Adjusted PAT (Rs cr)	(29,279)	(29,279)	12,287	549	-
Market. Cap (Rs cr)	68,120	73,132	7,24,991	28,232	-
Enterprise Value (Rs cr)	2,68,850	2,73,862	9,28,075	37,347	-
EBITDA Margin (%)	39.9	39.9	51.2	42.3	51.4
Net Margin (%)	-	-	8.8	8.3	-
EV/Sales (x)	6.4	6.5	6.7	5.7	-
PE(x)	-	-	59.0	51.4	-
EV/EBITDA (x)	16.0	16.3	13.0	13.4	-
RoE (%)	(39.4)	(39.4)	12.0	13.4	8.4
RoCE (%)	(4.7)	(4.7)	12.3	10.3	-

The data is based on FY23 financial data

For Vodafone Idea Limited the P/E, Market cap and EV/EBITDA (x) are calculated on post-issue equity share capital based on the upper price band

CMP as on 15th April 2024

Source: RHP, SSL Research

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